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Master Direction - Priority Sector Lending (PSL) - Targets and Classification

1. Introduction and Applicability:
This Master Direction is issued by Reserve Bank of India under Section 21 and Section 35A of the Banking Regulation Act, 1949. It applies to all Scheduled Commercial Banks (SCBs) including Regional Rural Banks (RRBs) and Small Finance Banks (SFBs).

2. Overall Targets for Domestic Commercial Banks:
Total Priority Sector Lending target for Domestic Scheduled Commercial Banks and Foreign Banks with 20 branches and above shall be 40% of Adjusted Net Bank Credit (ANBC) or Credit Equivalent Amount of Off-Balance Sheet Exposure (CEOBE), whichever is higher.

3. Sub-targets for Domestic Commercial Banks:
(a) Agriculture: 18% of ANBC, with a prescribed sub-target of 10% for Small and Marginal Farmers.
(b) Micro Enterprises: 7.5% of ANBC.
(c) Advances to Weaker Sections: 12% of ANBC.

4. Foreign Banks with Less Than 20 Branches:
Foreign banks with less than 20 branches are also mandated to achieve overall PSL target of 40% of ANBC. However, they are exempt from specific sub-targets (Agriculture and Micro Enterprises) and can achieve the target across any eligible priority sector category.

5. Priority Sector Lending Certificates (PSLCs):
Banks having shortfall in achievement of PSL targets may purchase Priority Sector Lending Certificates (PSLCs) through RBI's core banking solution (e-Kuber) platform to meet quarterly and annual targets without transfer of underlying credit risk.

6. Penalty for Non-Achievement:
Banks having continuous shortfall in PSL targets shall be required to contribute to the Rural Infrastructure Development Fund (RIDF) established with NABARD or other designated funds as determined by the Reserve Bank of India from time to time.